

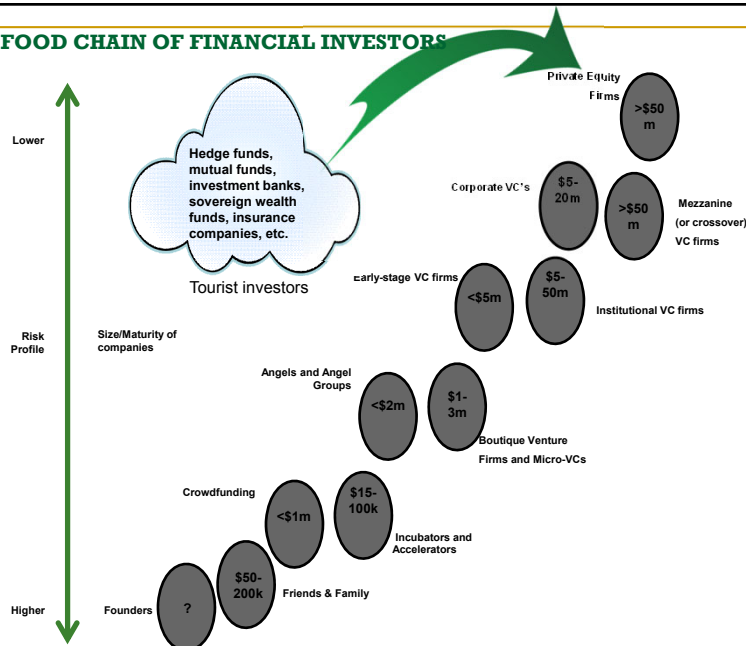
Venture Capital and Entrepreneurial Management

MGMT 264

The Fundraising Landscape

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THE FOOD CHAIN OF FINANCIAL INVESTORS



Financing Options for First Financing

Before:



Friends and family



Angels



VC firm

Now:

- Friends and family
- Angels
- Super Angels
- Micro VCs
- Incubators
- Accelerators
- Stage-agnostic VC firms
- Corporate investors
- Crowdfunding
- “Demo Day” pitch competitions
- Cross-over (i.e., mezzanine) firms
- Investment banks
- Hedge funds, mutual funds
- Private equity firms
- Government business development centers

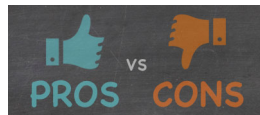
Fundraising Overview - Implication: For Entrepreneurs

- Increasing seed financings
- Amplifying funding options
- Increasing bargaining power



BUT

Important to understand the pros and cons of each option



Bootstrapping to a “proof point” is becoming a norm

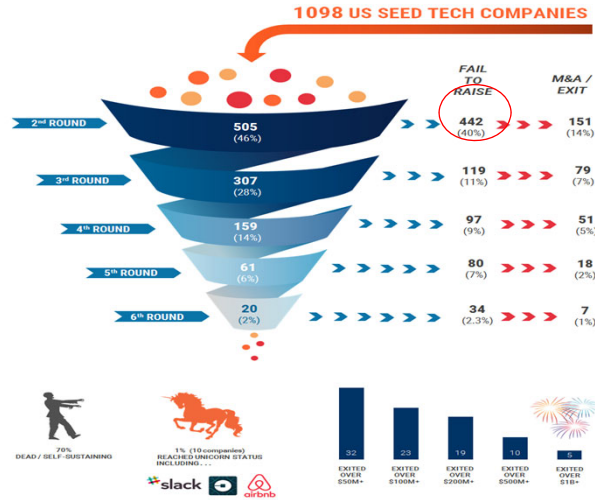


Watch out for the “Series A or Series B crunch”



Elements of the Industry Here to Stay

After the seed round, the Series A and Series B “crunch” are real



Fundraising: How Much Do I Raise?

Some General Thoughts

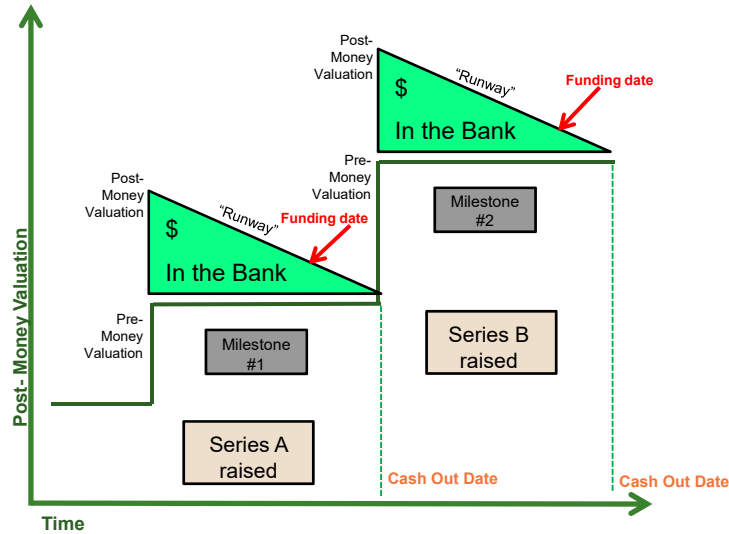
- Raise enough to enable you to get to a significant milestone that will take the company to a new level of valuation.
- Make sure there is enough runway to get to the milestone—maybe 18 months. 12 months is not enough, 24-36 months is too much.
- Make sure you have a Plan B if the investor thinks you are raising too much money.
- The amount you raise should correlate to a reasonable level of cash burn.
- Oddly, the amount you seek to raise may impact the pre-money valuation.
 - If the raise is \$10M for 20% of post-money valuation then the pre-money is \$40M (\$50M - \$10M)
 - If raise is \$5M for 20% of the post-money valuation then the pre-money is \$20M (\$25M - \$5M)

Key Question: How much money, and when do I raise it?

Set a key milestone that would imply a much larger valuation, and ask the money for it.

First Round capital. Ex-Wharton alum. Raffi knows him.

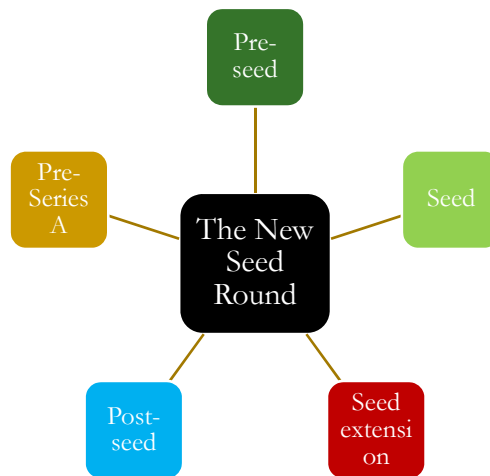
Fundraising Strategy: Runways and Milestones



Watch out! Do upround financing, which means that you want your pre-money in series B to be higher than your post money at series A

Seed Capital

Pre-seed v. seed v. post-seed v. pre-Series A



Why various seeds?

You have not achieved proof of concept, so series A which is very large and quite dilutive does not make sense. (Series A is when you have achieved proof of concept and scale)

This way you approach seed capital, which is generally more available, less dilutive

Seed Capital

Pre-seed v. seed v. post-seed v. pre-Series A

Category	Typical round size	Investor	Dilution range	Example of characteristics
Pre-seed	<\$750K	Founders, friends & family	5-10%	Pre-product; product development in process; MVP not yet identified; need to fill critical management positions; seeking to overcome a key product or business hurdle
Seed	\$2-5M	Angels, boutique and some big VCs	15-25%	Product prototype is nearing completion; management team is rounding out; product-market fit is near; some beta customers in hand
Post-seed	[\$2-5M]*	Angels, boutique and some big VCs	[10-20%]*	Product-market fit is in place; MVP is complete, early revenues but customer acquisition is slow and not yet scalable; investor is willing to assume velocity risk
Pre-Series A	[\$5-8M]*	Boutique and some big VCs	[10-20%]*	Post-seed objectives are achieved; clear signals on customer traction; revenue ramp has only just started

Seed Level Convertible Note

■ Convertible Note

- ❑ A loan which allows the lender to exchange the debt for common or preferred shares in a company at a preset conversion ratio. It is one of the bridge loan structures used by early stage investors.
- ❑ When is it used?
 - The company must otherwise be considered worthy of an investment, and
 - The investor has confidence that the loan will be followed by an equity financing.
- ❑ Key terms

Key Debt Features	Key Equity Features
<u>Interest</u> : Minimal (usually around 5% or less)	<u>Conversion Time</u> : Next round of equity financing
<u>Maturity</u> : Up to 24 month (usually 12 months or less)	<u>Conversion Price</u> : Price of next round, often with a discount
<u>Security</u> : None	<u>Discount on Conversion</u> : 10-30%, median is around 20%-25%
<u>Prepayment</u> : Not without consent	<u>Valuation Cap</u> : the maximum valuation at which the note converts into equity.
<u>Change of control</u> : Voluntary conversion to preferred stock, or common stock; or premium return on note (e.g., industry convention is approximately 2x principal)	

Seed-level Convertible Note

Mainstream Industry Practice

Let's play ping pong! Series A investor wants to invest, convertible note holders want the new money.

- Notes for \$500,000 with a 20% discounted conversion share price (no valuation cap here)
- Founders with 2 million shares
- **Series A investor serves:** \$5m for 33% of the company at a \$10m pre-money valuation (i.e., \$5/share for 1 million shares)



Seed-level Convertible Note

Mainstream Industry Practice

Let's play ping pong! Series A investor wants to invest, convertible note holders want the new money.

- **Note holder responds:** Simple conversion--\$5 Series A price at 20% conversion discount = \$4 conversion price
- \$500K debt / \$4 = 125,000 Series A Shares



In reality you accumulate interest which is paid when you convert

Seed-level Convertible Note

- Conversion on a Post-Money Basis
 - Following the simple conversion price formula ($\$5 \text{ Series A price} \times 80\% = \$4 \text{ conversion price}$) has the effect of baking the conversion shares into the “post-money” of the company.
 - In other words, you’re calculating the conversion price as if the Series A had already invested their \$5M. This has the effect of giving the note holders their equity on a post-money basis.

	Initial Cap Table		Series A		Post Conversion No Cap, 20% Discount	
	No. of shares	% Own	No. of shares	% Own	No. of shares	% Own
Founders	2 million common	100%	2 million common	66.7%	2 million common	64%
Angels (Convertible Note Holders)	0 (\$500K convertible note)		0 (\$500K convertible note)		125,000 preferred A	4%
Series A investors			1 million preferred A	33.3%	1 million preferred A	32%

- What is the potential business problem with calculating the note into the post-money capital this way?

*Ordinarily, accumulated interest is included with the principal as the total amount to be converted into Preferred. For simplicity in calculation, interest has not been included here.

Seed-level Convertible Note Mainstream Industry Practice

Back to ping pong!

- **Series A counters:** What happened to the 33% stake I negotiated for?!? (expletive deleted) I refuse to take less than 33%! I should get more shares.
- **Note holder defends:** Series A can have its 33% by getting more shares, but then I need more shares since I have been diluted, too!



Seed-level Convertible Note

Conversion on a Pre-Money Basis

- To make everyone happy, we bake the conversion shares into the pre-money valuation.
- Series A gets their 33% by giving them more shares, note holder gets more than 125,000 shares called for by the contract conversion price (so 4.2% stake instead of 4%).
- Founders get the short end of this stick.

	Initial Cap Table		Series A		Post Conversion No cap, 20% Discount	
	No. of shares	% Own	No. of shares	% Own	No. of shares	% Own
Founders	2 million common	100%	2 million common	66.7%	2 million common	62.5%
Angels (Convertible Note Holders)	0 (\$500K convertible note)		0 (\$500K convertible note)		133,333 preferred A	4.2%
Series A investors			1 million preferred A	33.3%	1,066,667 preferred A	33.3%

*Ordinarily, accumulated interest is included with the principal as the total amount to be converted into Preferred. For simplicity in calculation, interest has not been included here.

Seed-level Convertible Note

Discount and Valuation Cap

- 70-80% of seed-level convertible notes today have both a valuation cap and a discount price.
- If the effect of the valuation cap is to yield a lower conversion share price than the discount formula, then the holder gets the better deal. If the discount provides the lower conversion price, then the holder gets that price.
- Valuation cap is intended to protect the note investor against "lightning in a bottle" (i.e., the company raises its first equity financing at an unexpectedly high valuation).
- Where the conversion price is subject to a cap and a discount, predominant industry practice is to convert the note on a pre-money basis.

Seed-level Convertible Note

The Valuation Cap

- **Now a conventional structure.** A majority of seed stage financings today, of less than about \$2 million (give or take), get done with convertible notes.
- **Valuation caps.**
 - A word of caution: Although a note financing is not a “priced” round (i.e., the note as a debt instrument does not establish a company valuation), the cap is sometimes seen as a proxy for valuation and can influence the valuation discussion for the next financing round
 - Low caps favor the investor (which mean they become punitive for founders)
 - In Q2 2021, Median pre-money early stage valuation for first institutional round (Series A) was \$41.5 million; second round (Series B) approx. \$130 million
 - Today, caps in a convertible note for a seed financing are usually set at around \$7-9 million. (Compare this cap vs. the median pre-\$ value of \$41.5m for the Series A round that follows the Seed round and triggers the conversion of the seed money!)

Seed-level Convertible Note

Valuation Cap and Discount: Conversion on a Pre-Money Basis

- Convertible note for \$500K at “lesser of” 20% discount to the share price paid by the Series A investors OR a price per share that is determined by dividing \$4 million pre-money valuation cap by the fully diluted capitalization of the company before Series A closes
- 2 million shares issued to founders
- Series A happens: \$5m invested on a pre-money valuation of \$10m (\$5/share, 33.3% ownership fully diluted after conversion of the note)

	Initial Cap Table		Series A		Post Conversion: Pre-money Valuation Cap \$4 million	
	No. of shares	% Own	No. of shares	% Own	No. of shares	% Own
Founders	2 million common	100%	2 million common	66.7%	2 million common	59.3%
Angels (Convertible Note Holders)	0 (\$500K convertible note)		0 (\$500K convertible note)		250,000 preferred A	7.4%
Series A investors			1 million preferred A	33.3%	1,125,000 preferred A	33.3%

*Ordinarily, accumulated interest is included with the principal as the total amount to be converted into Preferred. For simplicity in calculation, interest has not been included here.

Seed-level Convertible Note

Mainstream Industry Practice

Back to ping pong again!

- **Series A counters:** We've got another problem (expletive deleted). Your 250,000 shares of Series A have a liquidation preference of \$1,111,111 (i.e., 250K shares x \$4.44 Series A price). That's more than the \$500K cancelled note. It's not fair.
- **Note holder defends:** I've got a solution to that. My conversion shares will be issued as a combination of 112,500 Series A Preferred shares ($\$500,000 / 4.44$) and the remainder of 137,500 in Common stock ($250,000 - 112,500 = 137,500$ shares)



Alternative Types of Capital Convertible Note

■ General Observations

□ Investors' Perspective

- An equity deal almost always favors the investors

□ Founders' Perspective

- A convertible note deal is almost always beneficial to the founders. The benefits include but are not limited to:
 - Easy documentation (15 pages vs. 100 pages for equity financing)
 - Faster to put in place (days vs. weeks)
 - No valuation required (nor other equity-type deal terms)
 - Little or no negotiation required (convertible debt terms are mostly standard)
 - No impact on common stock pricing for employees/consultants



Alternative Types of Capital

Simple Agreement for Future Equity (“SAFE”)

- The deal structure of seed stage financing keeps evolving in favor of founders.
 - For example: Y Combinator provides YC-graduated start-ups with standardized simple agreements for future equity (SAFE) for the purpose of replacing convertible notes in most cases.
 - Features of SAFE:

Key Debt Features	Key Equity Features
NONE	<u>Conversion Time</u> : Next round of equity financing
	<u>Conversion Price</u> : Price of next round
	<u>Discount on Conversion</u> : 10%-30% (Optional)
	<u>Valuation Cap</u> : The maximum valuation at which the note converts into equity (Optional)
	<u>Change of control</u> : Voluntary conversion to preferred stock, or common stock


[About](#) [FAQ](#) [Resources](#)

Startup Documents

March 2015

There are four versions of safe, corresponding to the four types of convertible note:

- [Safe Primer](#)
- [Safe: Cap, no Discount](#)
- [Safe: Discount, no Cap](#)
- [Safe: Cap and Discount](#)
- [Safe: MFN, no Cap, no Discount](#)

Convertible Note vs SAFE*

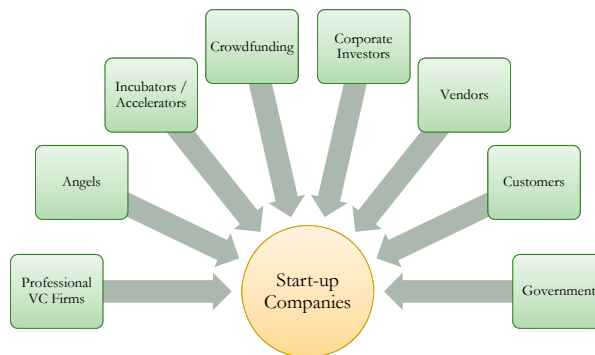
Term	Convertible Note	SAFE
Nature of instrument	Debt	Equity (as in a form of warrant)
Maturity date when debt is due	Yes	No
Interest rate	Yes	No
Conversion to equity	Yes	Yes
Conversion event	"Qualified financing"	Next financing round
May include discount on conversion/valuation cap	Yes	Yes
Payout on early exit	Yes	Yes
Exit premium	2x or more	1x
Conversion on a post-money basis	Depends	Yes
Most Favored Nation	Sometimes	Sometimes

*according to the template endorsed by Y-Combinator

Fundraising Overview

- Implications: For VC Industry

- The sources of capital for start-up companies have increased substantially over the past decade.



Sources of Capital

- Angels

■ Who are they?

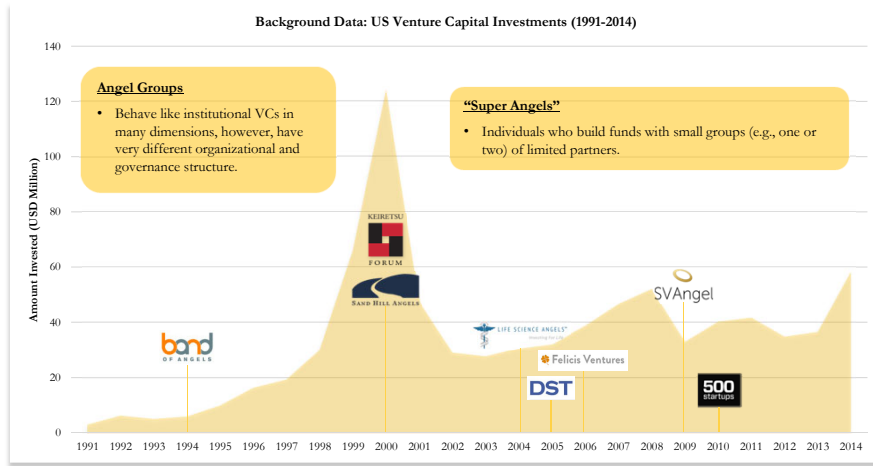
- Angel investors are mostly wealthy individuals (e.g., successful entrepreneurs) making direct equity investments in early stage companies and a key group of players at the beginning of the food chain of VC ecosystem.
- Angel financings are typically in the \$20K to \$1 million range.



■ Distinction from professional VC firms

- Less valuation sensitive → Less dilutive
- Sometimes less intensive in diligence and faster to put up the money
- Sometimes less likely to insist on representation at board meetings
- More control to the founders and less likely to insist on management control

Sources of Capital - Angels



Felicis ventures - first investor is Stanford endowment

DST - Owner has best house in silicon valley

Sources of Capital - Angels



■ Dynamics between angels and institutional VC firms

□ Competition

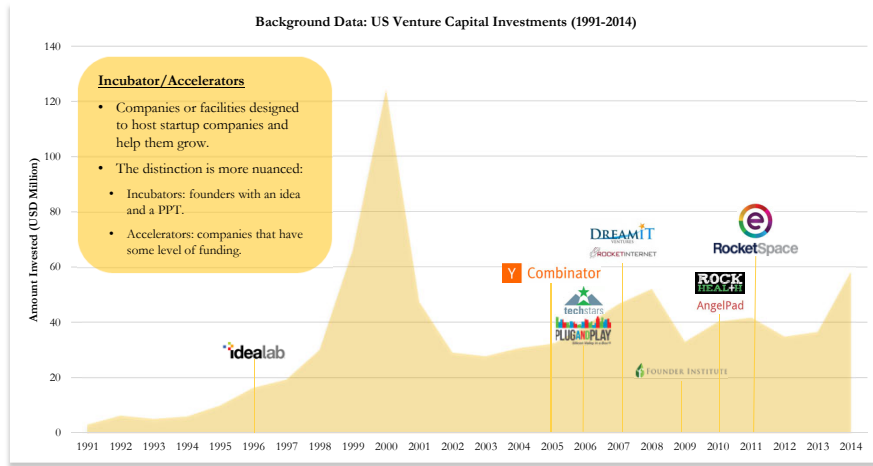
- Some institutional VCs have become "stage agnostic," i.e., they are investing very modest amounts in startup deals to get access—sometimes with the result of pushing out the angel investors
- Lack of respect for each other
 - Some angel investors are skeptical about the value-adding expertise and business model of institutional VC firms—and vice versa
 - Some institutional VC firms see angel financing terms/valuations as impediments to VC objectives, and may try to squeeze out the angel investor at the first institutional round

□ Complementary

- As angels and super-angels become more prominent in the ecosystem, VC firms need angel investors to provide deal flow and mitigate risk, while angels need VCs to support future growth
- Many savvy "stage agnostic" VC firms will syndicate with angel investors and incubators/accelerators in seed investments

Sources of Capital

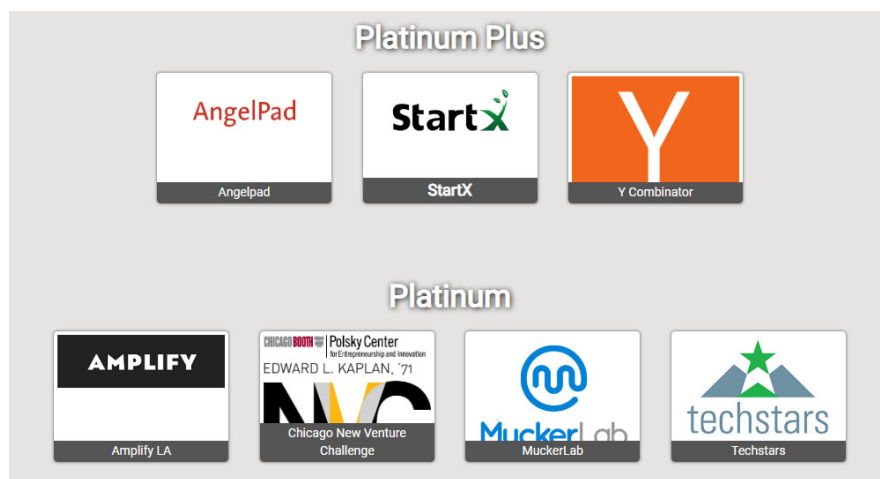
- Incubators/Accelerators



Accelerators - Startups are usually there for x amount of time, and they usually invest some equity.

Sources of Capital

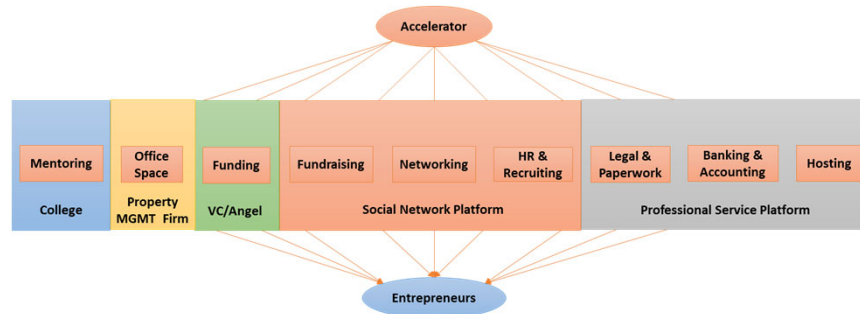
Accelerators



Sources of Capital

- Incubators/Accelerators

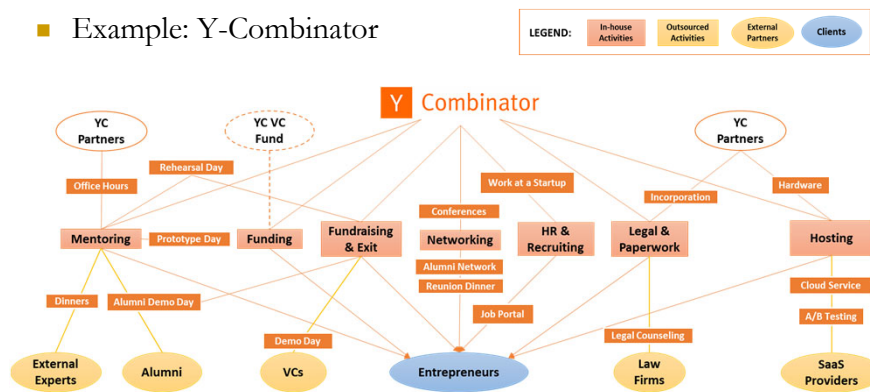
- What do incubators/accelerators do?



Sources of Capital

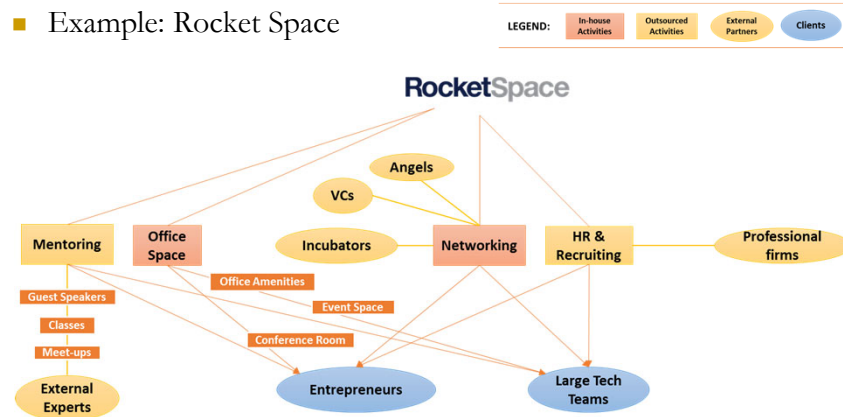
- Incubators/Accelerators

- Example: Y-Combinator



Sources of Capital - Incubators/Accelerators

■ Example: Rocket Space

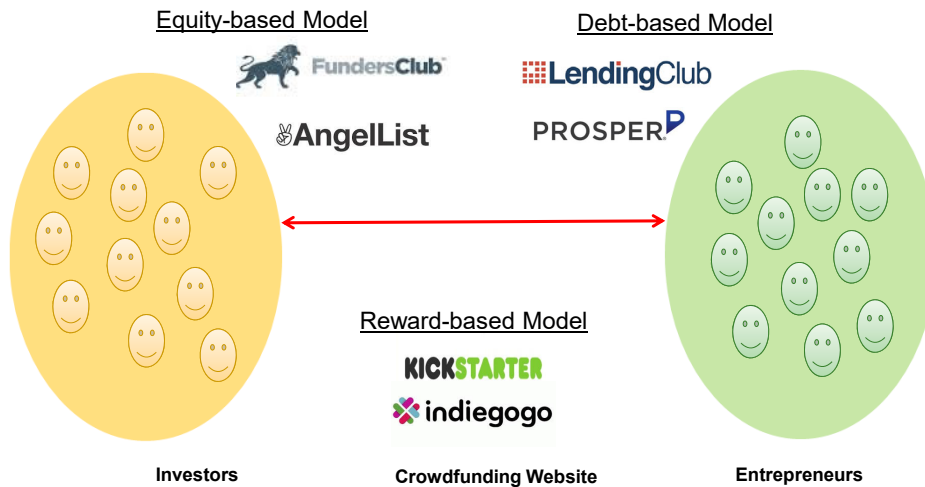


Sources of Capital The Tradeoffs with Incubators and Accelerators

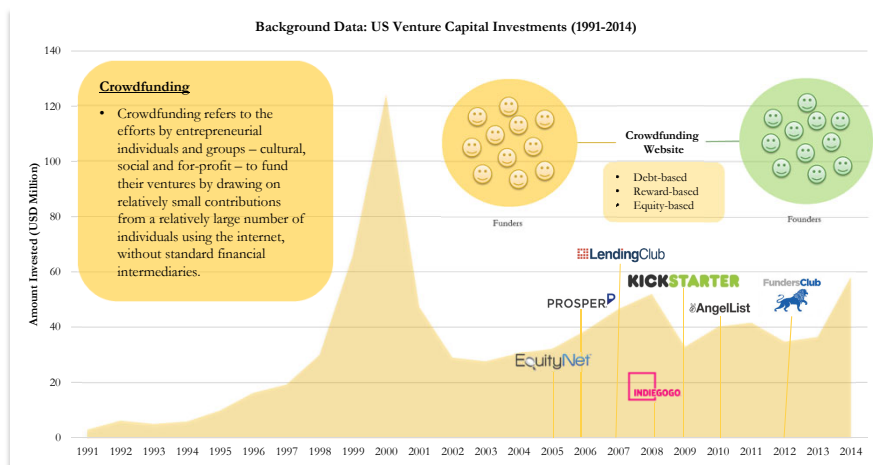


What you get	What you give up
Space (desks, lights, office equipment, security)	"Real estate model" (rent): Usually tied to the amount of space taken up by the company (e.g., \$150-800/month/desk) and whether it's dedicated space or a "hot desk."
Mentorship (coaching, speakers, panel events)	"Equity model": 2-10%, with the median in the 3-6% range (where equity is required at all). (E.g., YC wants 7% post-money for \$125K—with conditions) Usually pressure to show progress.
Cohort environment (rubbing shoulders, sharing ideas with other founders)	Loyalty of employees: Employees may leave for greener pastures within the same incubator or accelerator
Access to talent (programmers, co-founders, vendors, consultants, etc.)	Autonomy and performance requirements: Usually subject to progress requirements, growth constraints, time boundaries imposed by the incubator. "Go big or go home."
Money: Sometimes seed money is given as an outright grant, other times it is structured as payment for equity	
Prestige: Tied to the prestige of the incubator (e.g., Y-Combinator, 500 Startups, etc.)	Loyalty of the incubator or accelerator: Little diligence on participant companies; modest capital investment; no commitment for follow-on capital; little reason to keep startup in the incubator absent business traction.
VC introductions: Many incubators have partnerships with institutional VC firms (e.g., Y-Combinator and Sequoia Capital, SV Angel and DST Global)	
Introductions to strategic partners: Most successful accelerators are tied in with the corporate community, (e.g., strategic partnerships, customer and supplier relationships, etc.)	

Sources of Capital Crowdfunding

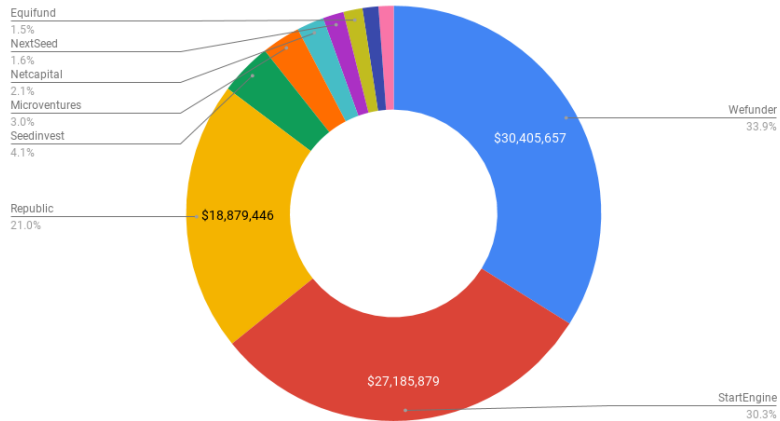


Sources of Capital Crowdfunding



Sources of Capital Crowdfunding

2020 YTD - Reg CF Capital Raised as of September 2020



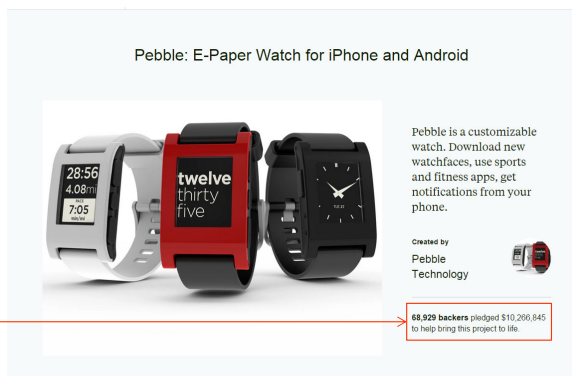
Source: 2020 Reg CF data obtained from [NextPitch.tv](https://www.nextpitch.tv/).

Sources of Capital Crowdfunding

■ The Up-side of Crowdfunding

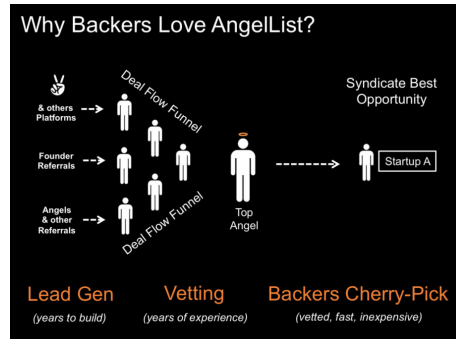
- A Example from **KICKSTARTER**

- Cheap Capital
- Marketing (e.g., eyeballs)
- Hypothesis testing/proof of concept



Sources of Capital Crowdfunding

- Is there any downside to raising money from crowdfunding?
 - ✓ How “democratized” can/should crowdfunding get? Should it include mom’s and pop’s?
 - ✓ How important is it for a founder to “know her investors?”
 - ✓ How much management time should a founder be prepared to commit to shareholder relations?
 - ✓ What signaling to the institutional VC comes with a crowdfunded company?
 - ✓ Ideas/products displayed on a crowdfunding platform are vulnerable to copycats and frauds



Sources of Capital - Corporate (“Strategic”) VC Investors

- Who are they?
 - VC funds or investment entities (e.g., subsidiary or division) affiliated to large companies, mostly public companies
 - Invested \$2.7 billion in 22 deals in Q3, 2015 alone
 - Examples:



- Distinction from financial VC investors
 - May be less valuation sensitive
 - Investment is usually coupled with a commercial relationship or “alignment,” either explicit or implicit
 - Corporate VCs increasingly behave like VC investors

Source of Capital

- Corporate (“Strategic”) VC Investors



■ The Benefits and Costs of Being Funded by Corporate VC Investors

□ Benefits

- Sometimes a higher valuation
- Validation of the business plan
- Customer, partner introductions
- Sometimes a commercial relationship, especially when the startup complements the CVC business

□ Costs/Risks

- Implication of high valuation for the next round of financing?
- Potential failure to provide a follow-on investment
- Competitive agenda; potential restrictions on startup autonomy

Alternative Types of Capital

- Venture Debt



■ Venture Debt

- Providers: Specialized banks and non-bank lenders
- Purpose: Used to extend the cash burn runway pending the next round of equity financing, conserve capital for other purposes
- Qualifications
 - Established, institutional VCs (or angels) already on board
 - Available for both early stage, pre-revenue companies, and revenue-generating companies with receivables
- Terms

Key Debt Features	Key Equity Feature
Interest at prime (e.g., 15%-25%)	Warrant Coverage • Typically at 5%-20% of the amount of the loan
Security interest in all company assets	
Maturity	

Alternative Types of Capital

- Equipment Leasing



■ Equipment Lease

- Provides a means of 100% financing for equipment (computers, IT, etc.), while conserving capital for other purposes
- Providers
 - Vendors (HP, IBM, Sun Microsystems, Dell, Gateway) and dedicated venture leasing firms
- Qualification
 - Pre-revenue or revenue companies
- Terms
 - A startup company leases computer equipment, pays a monthly sum, and at the end of the term, typically returns the equipment, buys it then at fair value, or renews
 - Most venture equipment lessors require warrant coverage of 6%-8%

Alternative Types of Capital

- Warrants

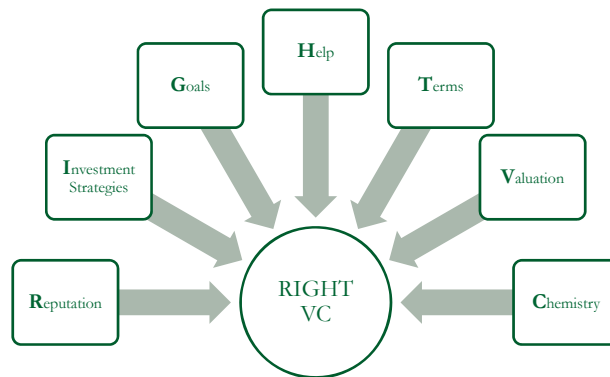


■ “Warrant Coverage”

- Definition: Right to purchase a number of shares (a “warrant”) equal to a percentage of the loan amount divided by the current share price
- Example: 10% warrant coverage on a \$250,000 loan for a startup looking to issue Series A Preferred at \$5/share
 - Equal to \$25,000 worth of warrant coverage
 - Warrant to be granted for 5,000 shares of Series A Preferred at \$5/share exercise price
- Terms
 - Warrant term typically for 5-7 years
 - “Net Exercise” provision
 - Expires upon an IPO or acquisition

Fundraising - An Entrepreneur's Perspective

- Which one is the RIGHT VC for you?



Takeaway

- The fundraising landscape

- Structural changes
- Alternative funding options
 - Angels
 - Incubators/Accelerators
 - Crowdfunding
 - Corporate VC

- Alternative forms of funding

- Convertible notes
- Warrants

Next Class:

Valuation Methodologies



Your Questions?



Appendix I

■ The Fundraising Process

Fundraising: The Process

■ What is the general process?

- Introduction and initial contact with the VC
- Initial due diligence by VC
- A meeting with the VC
- VC follow-up diligence: Contacts with consultants, customers, market research firms, etc.
- Term sheet issued
- 30-90 days of extensive DD
- First Closing

Fundraising: The Process

- A note: There is no guarantee that an entrepreneur will be able to raise capital.
 - Supply and demand: Even though there are more angels/incubators/early VCs looking to support seed companies, the number of seed companies has increased.
 - Investors are generally conservative in outlook. The moral of the story: **Don't quit your day job** before you have financing lined up.
 - "Bootstrapping" is frequently expected as a precursor to angel and VC financing.



Essentials in the Executive Summary

- **Executive Summary - Content**
 - ❑ Opening paragraph: The one-minute test
 - ❑ The business--what industry you are in and company summary (exact explanation of what your firm is doing)
 - ❑ Product/service description (**uniqueness**)
 - ❑ Market summary--**the opportunity** – problem to be solved (include data on size, growth & competition)
 - ❑ Business model and product market strategy
 - ❑ The **management team's** qualifications
 - ❑ Capsule **financial summary** (Five Years, Sales, ROI, Assets, Liabilities, Net Worth and Key Ratios), include required amount of funding, use of proceeds, and proposed pricing
 - ❑ **Exit** (when will the company go public or what alternative exit is envisioned)
- **Executive Summary - Style:** A polished document containing dynamic, positive & exciting words
- **Executive Summary – Length:** Max 2 pages (1 page is better)

Essentials in the Executive Summary

- **Executive Summary: Must provoke immediate interest**
 - ❑ Currently unsolved industry problem
 - ❑ Large growing market
 - ❑ Solution to problem: Unique product/service
 - ❑ Novel Business model
 - ❑ Proprietary position
 - ❑ Evidence of customer acceptance
 - ❑ Execution strategy
 - ❑ Not a saturated space
 - ❑ Management team credentials; balanced, focused experienced, and motivated management team
 - ❑ Attractive financial prospects

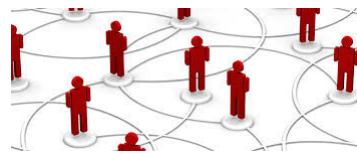
Diligence Headlines

- Strategy, business, and revenue models; value chain analysis
- Marketing, sales, distribution
- Customer and competitor analysis
- Organization
- Technology and IP; barrier to entry
- Operations, systems
- Manufacturing and production
- Management team/bios
- Financial/budget or projections



How Did the Executive Summary Get to the VC?

- If the plan came in without a referral, did the entrepreneur “qualify” the fund?
 - Through discussion with the portfolio CEOs? The VC website? The VC reputation and branding?
- If by referral, from whom?
 - Another VC wanting to lead?
 - Another VC looking for a lead?
 - A corporate venture capital fund?
 - A portfolio CEO?
 - An attorney or accountant known to the VC?



The VC Decision: Do We Meet With the Founders?

- Group decision in deal flow meeting
 - VC “sponsor” must make the case
 - Solid description of opportunity
 - Attributes of founder team
 - Comparison with other business plans received in same space
 - Technology
 - Market validation
 - At least one other initial reviewer
 - Preliminary assignment of roles within VC team
 - All team members read the plan

Six Essentials

1. “Who are these people?”
2. “What is their business?”
3. “What are they really selling?”
4. “What is beyond control?”
5. “Can they get there?”
6. “Can we/they win?”

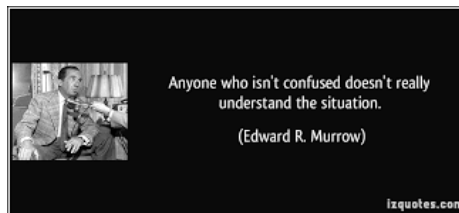
“Who Are These People?”

- Do they fit the way we do business?
- Do the people have the right experience, skills, and attitudes to make it real?
- Does the deal make sense, given the people?
- Who is missing from the picture?
- Does this overall picture make sense?
- Are these people consultants or players?
- Can they adapt to changing circumstances?
- Do they burn with enthusiasm and determination?



“What Are They Really Selling?”

- Who are the customers? How do they make decisions?
- Does the pricing strategy fit customer profile and purchase criteria?
- What are implications of demand for production?
- How will each customer/segment be reached? Associated costs? Obstacles?
- How much does it cost to produce the product/service? How is this related to pricing? Why?
- Given customers, products, pricing, competition, etc., can demand be sustained?



“What Is Their Business?”

- Is this a business or a product?
- What is the business?
- What does the entrepreneur know?
- Can they explain it to me? To others?
- What problems are solved?
- What needs/wants are met?
- What is the value of the business as a solution?
- How does the revenue model reflect this?
- Does the revenue model make sense?

“What Is Beyond Control?”

- What will change the target market?
- What is proprietary?
- Can others exploit the opportunity? What are their competitive advantages?
- What relationship factors could affect the company?
- Partners? Overseas sales?
- Can we respond?
- What non-commercial factors are at play?



“Can They Get There?”

- Is there an operational plan? Details?
- Is it realistic?
- Do skills match operational needs?
- Is it coordinated with capital needs?
- How does the revenue model tie in?
- What is the revenue/profitability/cash flow strategy?
- What are the exit implications?

“Can We Win?”

- Investments as tuition
- Competitive culture of team
- Defined wins at each stage and milestone
 - Think baseball — it's not just home runs
- How do the customers win?
- How do the partners win?
- How do the entrepreneurs win?
- How do the VCs win?
- VCs have competitive personalities; they want to see themselves in their entrepreneurs
- *"Winning is not a sometime thing; it's an all-the-time thing."*
—Vince Lombardi



The Seven Deadly Questions

1. "Who is your customer?"
2. "Which competitors keep you awake at night?"
3. "Growth. How big and how fast?"
4. "Tell me again, how do you make your money?"
5. "How much money do you need, and why?"
6. "So, what do you think your company is worth?"
7. "Who y'all been talkin' to?"

Fundraising: Founders' Myths The Four Common Fallacies

- Fallacy No. 1: Get the highest pre-money valuation you can negotiate
 - The fallacy of more money over quality of fund
 - Turning off an otherwise qualified prospective investor
 - Putting the next round out of reach



Fundraising: Founders' Myths

- Fallacy No. 2: Take only the minimum amount of cash you need
 - Founders always underestimate
 - Capital raising becomes a full-time job
 - Insufficient cash constrains business plan

"Cash is more important than your mother."



Fundraising: Founders' Myths

- Fallacy No. 3: Make sure the founders/employees keep at least 50% control of the company
 - By definition, this knocks out venture capital for almost all deals
 - Most fully funded companies end up with 20-30% ownership by founders/employees at the time of an exit
 - More recently, the advent of Series FF or Class F or dual class voting common shares as an artifice to secure liquidity or maintain control



Fundraising: Founders' Myths

- **Fallacy No. 4:** Preserve the founders' stake in the company (after all, who founded the company in the first place!)
 - Founders may favor less experienced VCs offering better valuation to "win" the deal
 - Founders may favor inadequate equity incentives for employees, difficult recruiting, unstable work environment



Appendix II

- The First Round Capital Survey:
State of The Startups

Seed-level Convertible Note

Typical term sheet language for conversion: Discount and valuation cap

- In the event the Company consummates, on or prior to the Maturity Date, an equity financing pursuant to which it sells shares of its preferred stock, which are expected to be Series A Preferred Stock (the “**Preferred Stock**”), with an aggregate sales price of not less than \$5,000,000, excluding any and all indebtedness that is converted into Preferred Stock (*e.g.*, the Notes), and with the principal purpose of raising capital (a “**Qualified Financing**”), then the Notes will automatically convert all principal, together with all accrued and unpaid interest under the Note, into the Preferred Stock and common stock. *The conversion price will be a price per share equal to the lesser of (i) 80% of the price per share paid by the other purchasers of the Preferred Stock sold in the Qualified Financing and (ii) an amount obtained by dividing (x) \$4,000,000 (the valuation cap) by (y) the fully diluted capitalization of the Company prior to the Qualified Financing (excluding the Notes).*

First Round Annual State of the Startup 2019 [to be updated to 2020]

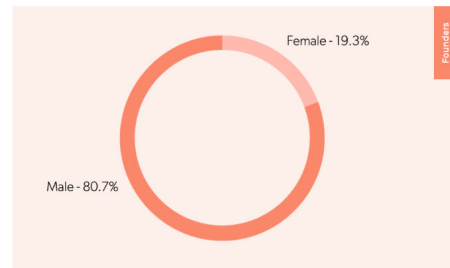
- Over 900 submissions in 2019, from founders and startup employees from startups across the U.S.
- Welcome to the fifth edition of State of Startups. What started as an experiment in 2015 has since become a treasured tradition here at First Round. It's now the industry's largest dataset on what it's like to run a startup with **3,600+** submissions and **190,000+** data points.
- Selected slides...

2019 State of the Startup

How old are you?

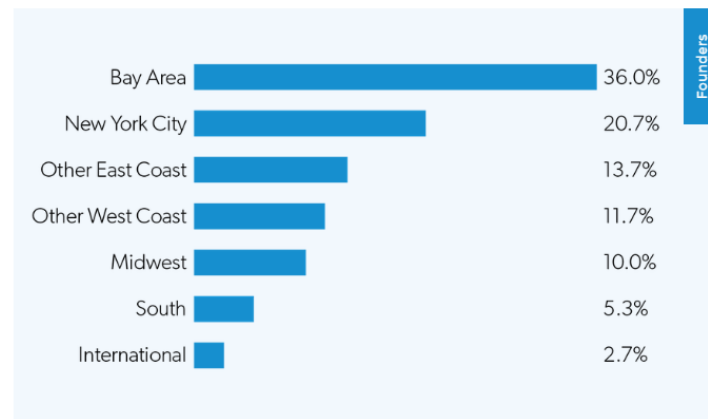


What is your gender?



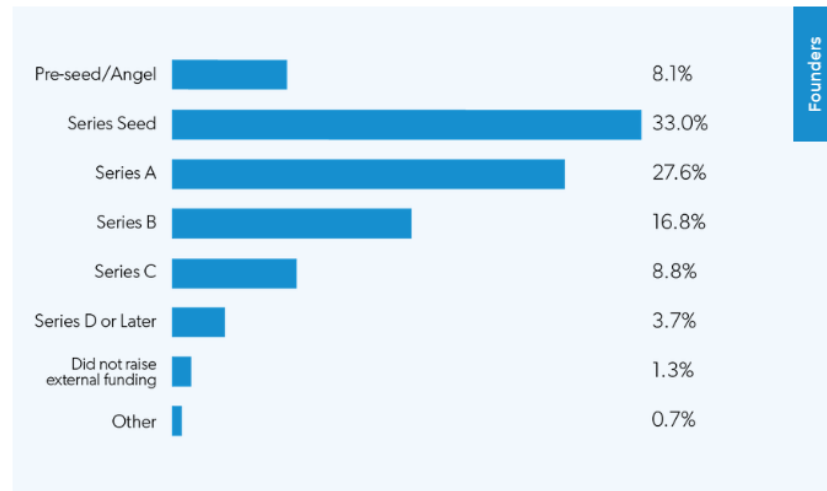
2019 State of the Startup

Where is your company headquartered?



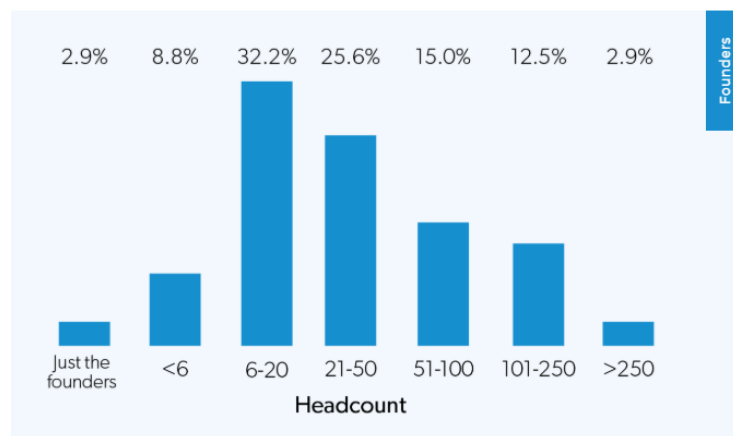
2019 State of the Startup

What was your last funding round?



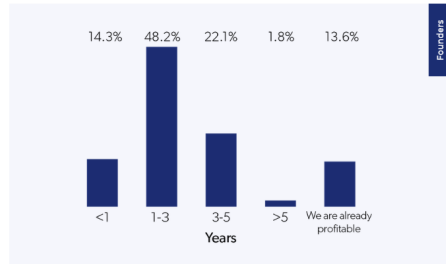
2019 State of the Startup

How many full time employees currently work at your startup?

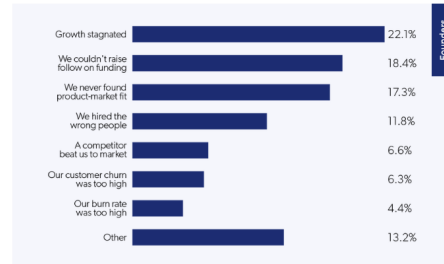


2019 State of the Startup

How many years until you think you'll be profitable?

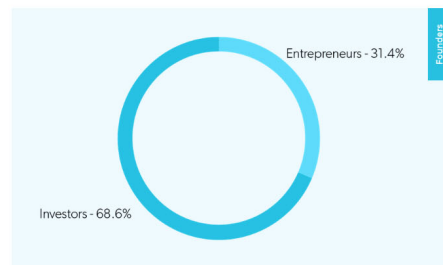


If your startup is not successful, why do you think that will be?

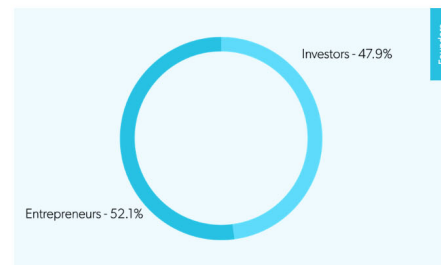


2019 State of the Startup

Over the next year, do you think power will be more in the hands of entrepreneurs or investors?

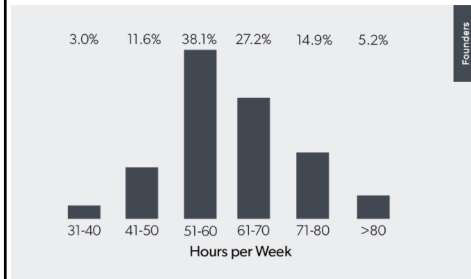


Over the past year, do you think power has generally been in the hands of entrepreneurs or investors?



2019 State of the Startup

On average, how many hours do you work a week?

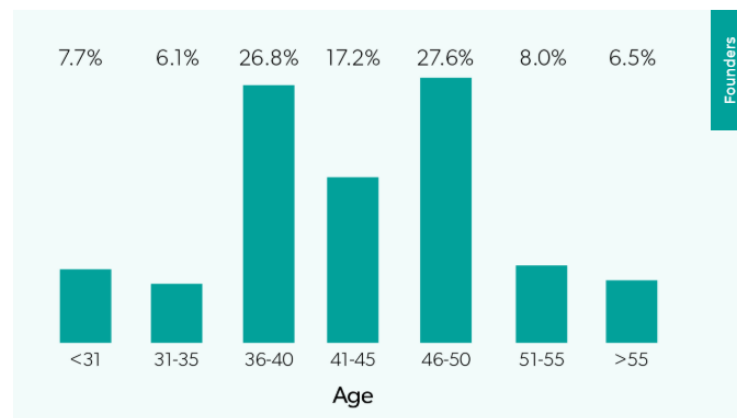


On average, how many hours a week do your team members work?



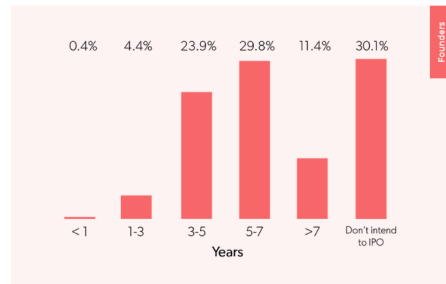
2019 State of the Startup

In tech, age discrimination starts at the following age:

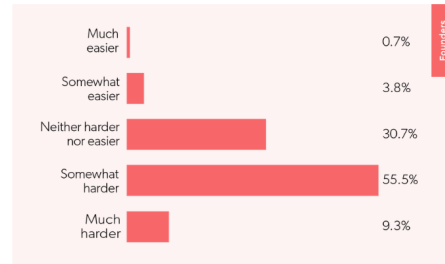


2019 State of the Startup

If you intend to go public, how long do you think it will be until you IPO?

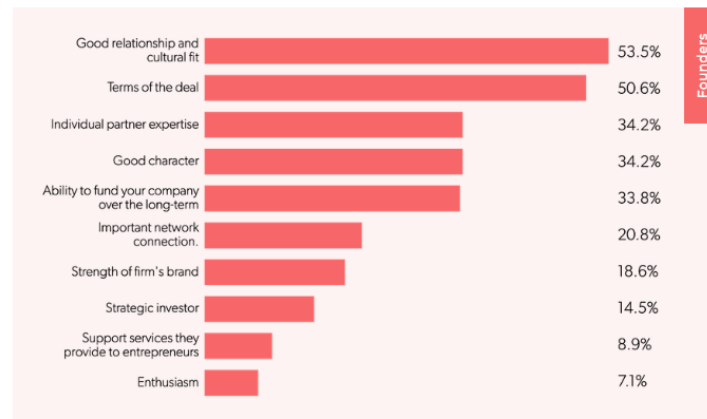


Do you expect it to get harder or easier to raise venture capital in the next 12 months?



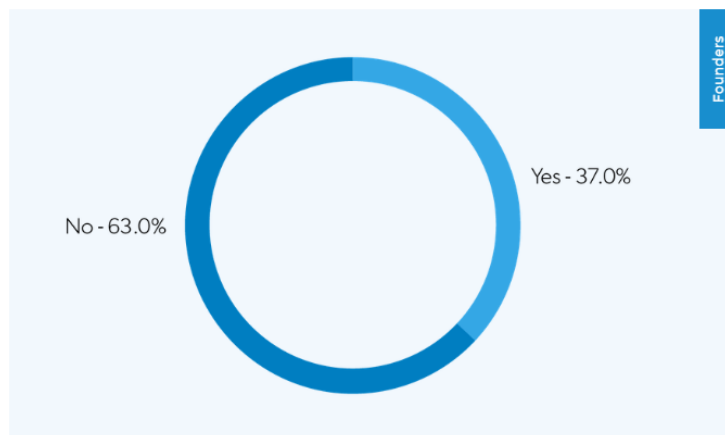
2019 State of the Startup

What are the most important criteria in picking your lead investor? (pick up to 3)



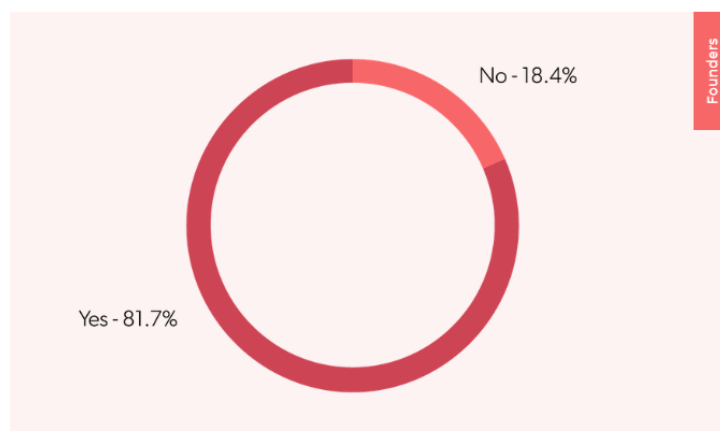
2019 State of the Startup

Have you gone through an incubator or accelerator program?



2019 State of the Startup

If you've gone through an incubator or accelerator program, would you recommend it to a fellow founder?



2019 State of the Startup

As a founder, if you could clear your schedule to work on just one company priority, it would be:

